Brazil Macro Monthly

Strong BRL reduces inflation and helps the BCB

- The global environment remains volatile but favorable to Brazil, with a weak US dollar and relatively elevated commodity prices (except for oil). The Fed should resume the easing cycle in the second half, which is also positive for EMs.
- In Brazil, the government decided to appeal to the Supreme Court after the Congress overturned the IOF rate hike. Meanwhile, the economic team seeks (politically viable) alternatives to meet the fiscal targets.
- Even without the additional revenue from the financial transactions tax (IOF) rate increase, the government should reach the lower limit of the target in 2025. For 2026 it will be more challenging to comply with the primary result target and, especially, the spending limit.
- Global and domestic factors explain the positive performance of the BRL. We revised our exchange rate forecast from 5.80 to 5.50 reais per dollar for YE2025, and from 6.10 to 5.70 for YE2026. We kept our forecast for the current account deficit at 2.9% of GDP.
- We kept our projections for GDP growth at 2.5% this year and 1.7% next year. A robust labor market, short-term stimulus measures, and strong performance of non-cyclical sectors are expected to soften the slowdown ahead.
- We reduced our IPCA inflation forecast to 5.0% from 5.5% in 2025, reflecting the stronger exchange rate and wholesale prices deflation. We also cut our number for 2026 but by a lesser extent, from 4.7% to 4.5%. Growth-supportive measures remain the main risk for inflation next year.
- With short-term inflation improving, the BCB should gradually gain confidence that monetary policy efforts are paying off. We now believe that the easing cycle will start in January (April before). We see the Selic rate at 12,50% by YE2026, but at the risk of a more intense rate-cut, if the outlook for fiscal reforms after elections gains traction.

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XP Forecasts

	2018	2019	2020	2021	2022	2023	2024	2025 (F)	2026 (F)
GDP growth (%)	1.8	1.2	-3.3	4.8	3.0	3.2	3.4	2.5	1.7
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	8.3	7.6	6.5	6.5	7.0
IPCA (CPI, %)	3.8	4.3	4.5	10.1	5.8	4.6	4.8	5.0	4.5
SELIC rate (% p.a., end of period)	6.50	4.50	2.00	9.25	13.75	11.75	12.3	15.00	12.50
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.28	4.86	6.2	5.50	5.70
Central government primary balance (% GDP)	-1.7	-1.2	-9.8	-0.4	0.5	-2.4	-0.4	-0.5	-0.7
Primary balance for target calculation (% GDP)*	--	--	--	--	--	--	-0.1	-0.2	-0.3
Public sector primary balance (% GDP)	-1.5	-0.8	-9.2	0.7	1.2	-2.3	-0.4	-0.5	-0.7
Public sector overall balance (% GDP)	7.0	5.8	13.3	4.3	4.6	8.8	8.5	-8.8	-8.2
General government gross debt (% GDP)	75.3	74.4	86.9	77.3	71.7	73.8	76.5	78.9	83.2
Net public sector debt (% GDP)	52.8	54.7	61.4	55.1	56.1	60.4	61.5	64.3	67.9
Trade Balance (USD Bn)	46.6	29.6	35.7	42.3	51.5	92.3	65.8	57.5	56.0
Exports (USD Bn)	231.9	225.8	210.7	284.0	340.2	343.8	339.9	343.5	347.0
Imports (USD Bn)	185.3	196.2	175.0	241.7	288.7	251.5	274.0	286.0	291.0
Current Account (USD Bn)	-54.8	-65.0	-24.9	-40.4	-42.2	-27.9	-61.2	-65.7	-64.5
Current Account (% GDP)	-2.9	-3.5	-1.7	-2.4	-2.2	-1.3	-2.8	-2.9	-2.7
FDI (USD Bn)	78.2	69.2	38.3	46.4	74.6	62.4	71.1	70.0	65.0
FDI (% GDP)	4.1	3.7	2.6	2.8	3.8	2.9	3.2	3.1	2.7
Nominal GDP (USD Bn)	1,915	1,873	1,475	1,670	1,951	2,190	2,178	2,293	2,395
Nominal GDP (BRL Bn)	7,004	7,389	7,610	9,012	10,080	10,943	11,745	12,703	13,530

* Excludes court-ordered payments beyond the limit

Source: IBGE, BCB, BBG, XP

Foreword – A weaker dollar and sound monetary policy improve the inflation outlook

The Financial Times reported on the day we wrote this foreword that the "US dollar suffers worst start to year since 1973". This is quite different from what we – and most market participants – expected after Trump's election. The dollar has weakened almost monotonically, regardless of US tariffs or conflicts in the Middle East and Ukraine. This happened even though US Treasury yields remained significantly wider than their European and Asian peers.

Against this backdrop, the BRL strengthened by around 12%, alongside most EM and DM currencies. A stronger currency and lower oil prices pushed Brazil's PPI inflation into negative territory, with benign spillovers to short-term CPI (IPCA). Indeed, our 2025 IPCA forecast, which was 6.1% at the beginning of the year, has been revised down month after month, in line with our BRL assumptions, and now sits at 5.0%.

Could it go further down? Well, our hypothesis is that the greenback will stabilize going forward. However, we must admit, that our recent track record on this has not been so great. The USD could weaken further if the Fed resumes the easing cycle, as may be the case for the second half of the year.

Beyond global forces, the BRL also benefits from a solid and responsive domestic monetary policy. The BCB acted decisively in December amidst a bout of market turmoil that pushed the BRL beyond 6.2 per dollar and continued to adjust the policy rate throughout the first half of the year. This helped to stabilize inflation expectations, although they remain above the 3.0% target across different available gauges.

Lower short-term inflation reduces inertia for the following year. As a result, we also revised down our 2026 IPCA forecast to 4.5%, from 4.7%. Additionally, we brought forward the expected start of the easing cycle from April to January.

However, monetary policy continues to lean against growth-supportive measures. Since the beginning of the year, the government has been discussing (and implementing) measures to keep demand heated. The downward revision to our 2026 inflation forecast would have been larger were it not for these policies.

A key assumption behind next year's monetary easing is that fiscal policy will become more sustainable after the elections. In the short run, we believe the government will find some form of revenue to meet its 2025 fiscal target. For 2026, the challenge will be greater. Yet by then, the presidential campaign debate tends to have a larger impact on market prices than meeting the fiscal target for that specific year.

Global backdrop – Weaker dollar boosts EM asset prices

Caio Megale

The US dollar keeps weakening. The DXY dollar index declined some 10% year-to-date, a significant movement for the most imported currency in the world. The trend continued regardless of the comes and goes of the Trump tariffs, the geopolitical conflicts around the world, and the relatively elevated US Treasury yield. That was crucial for the BRL (and other EM currencies) to strengthen this year.

Stabilization ahead. Our baseline forecast is that the US dollar will stabilize going forward, with political and geopolitical uncertainties gradually fading. But uncertainty remains elevated.

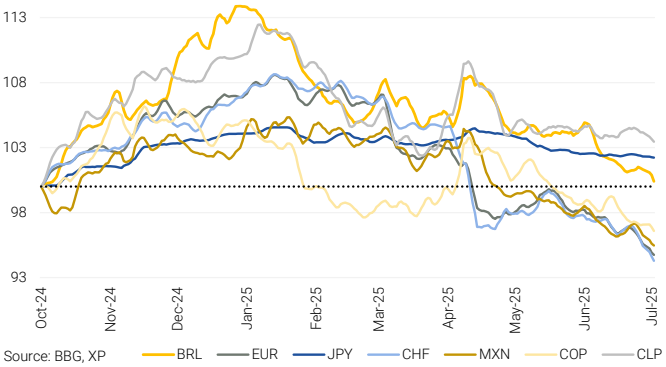
Fed will probably resume the easing cycle in the second half of the year. As inflation and growth decelerate, the Fed will probably find room to gradually resume the easing cycle. The price effect of tariffs remains a risk. We expect two 25-bp cuts at most. We rates go further down; it may put additional pressure on the US dollar to weaken further (contrary to our hypothesis forementioned).

Commodity prices remain at favorable levels for Brazil. Higher grains and metal prices offset lower oil prices – that, in turn, is above year-lows after being quite volatile as a response to the Middle East conflict. As we do not see a global recession on the horizon, we keep the hypothesis that commodities will move sideways going forward.

The US dollar lost some 10% against its peers year-to-date. More to come?
DXY Index

Source: BBG, XP

BRL has moved in line with other currencies over the past six months
Oct24 = 100 (Drop = appreciation)



Source: BBG, XP

BRAZIL – Strong BRL reduces inflation and helps the BCB

Political environment – Tensions between government and Congress

Paulo Gama, Bianca Lima e João Paulo Machado

July will be marked by the unfolding conflict between the Executive and Legislative branches, which intensified after Congress overturned the presidential decree that raised IOF rates (financial transaction tax). The crisis reached its peak when the government decided to appeal to the Supreme Federal Court (STF) to reinstate the tax increase immediately.

Justice Alexandre de Moraes will be the rapporteur of the case and has indicated the possibility of seeking an agreement

Prices of Brazilian commodities stabilized at a still good level
Price index of the main commodities exported* (USD)

Source: BBG, XP
* Soybeans, corn, oil and iron ore

between the Executive and Congress, in an attempt to ease tensions between the two Powers.

This conflict is set against the backdrop of anticipation for the 2026 electoral dispute. Since the (almost) defeated attempt to raise IOF rates, Lula's administration has invested in a narrative of pursuing social justice – increasing taxes on the wealthy while reducing the tax burden on the poor, in contrast to Congress, who prioritize interest groups. This "us versus them" narrative has been used by the government as a rallying cry for next year's presidential campaign and has been rejected by the Central parties bloc.

In this context, it will be important to monitor Congress reaction. An official break from the government by allied parties is unlikely at this time. However, there is growing support among allies of Speaker of the House Hugo Motta for Congress to double down on negotiations around topics of interest to the Executive. In practice, this means rhetorically advocating for expanding social benefits to counter the government's narrative.

Within this tense environment, the judicialization of the IOF could have collateral effects on the government's own legislative agenda. There is a possibility of delays and adjustments in measures to offset the revenue impacts of the income tax reform, as well as additional friction over the provisional measure that completes the Finance Ministry's revenue package and is expected to face strong resistance in the second half of the year.

From a fiscal perspective, the economic team is not ruling out including the projected revenue from the IOF decree in the next bimonthly revenue and expenditure report, scheduled for July 22. This would add BRL 12 billion to public accounts in 2025 and help close the fiscal gap for 2026. However, this depends on obtaining a favorable injunction from the STF before the report is published.

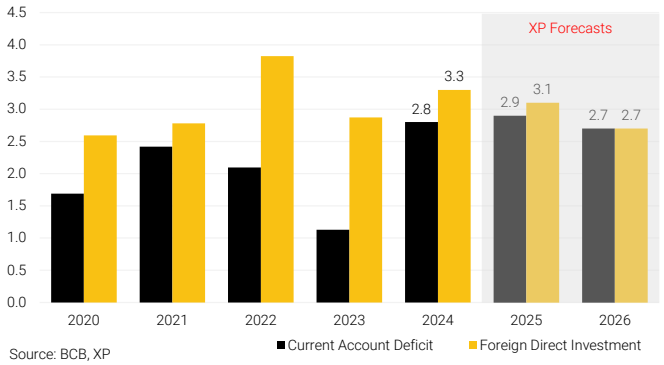
The economic team continues to seek alternatives to meet the primary surplus targets. With Congress showing clear fatigue regarding new revenue-raising measures and expenditure pressures mounting, the Executive and Legislative are trying to reach a consensus on a proposal for a linear cut in tax expenditures. This idea is also being championed by President Lula as part of his social justice agenda.

The current proposal targets only ordinary tax benefits (i.e., tax expenditures that can be changed by ordinary law without requiring a constitutional amendment), given the assessment that a broader reduction would not be politically viable. According to Finance Ministry estimates, this could yield around BRL 15 billion this year and next.

While the economic team works out the best technical and legal path forward, the House of Representatives has moved

ahead with discussions on a complementary bill addressing the issue. Authored by Senator Esperidião Amin and already approved by the Senate, the bill amends the Fiscal Responsibility Law to establish objective criteria and targets for tax benefits. With the urgency regime for its consideration approved by the House, discussions are expected to gain momentum next week upon Speaker Hugo Motta's return to Brazil.

Current account should stabilize amid slowdown in economic activity
(% of GDP)



Source: BCB, XP

External Accounts – We revised our year-end exchange rate forecast to 5.50 reais per dollar

Luíza Pinese

The exchange rate remains largely driven by global dynamics. In the first half of this year, the BRL appreciated some 11%, to around 5.50 reais per dollar. This movement mirrored the performance of other emerging market currencies, amid a broad depreciation of the US dollar, which recorded its weakest start to a year since 1973. **Domestically,** two factors contributed to the BRL's strength: expectations of fiscal reforms starting in 2027, and the Central Bank's timely and decisive monetary policy reaction.

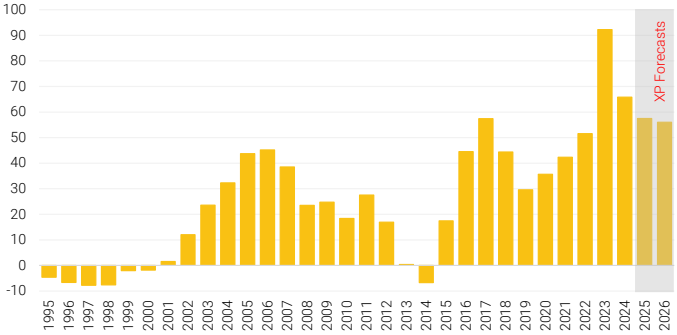
We expect these drivers to continue going forward. **Thus, we revised our year-end exchange rate forecast from 5.80 reais per dollar to 5.50 reais per dollar.**

Risks remain. Externally, the US dollar could partially recover if geopolitical uncertainties intensify again. In Brazil, fiscal risks persist, which could render the public debt trajectory unsustainable. Additionally, the balance of payments is not as strong as in recent years, following a period of overheated domestic demand (details below).

We also adjusted our 2026 number to 5.70 from 6.10 reais per dollar, in line with the inflation differential. The accuracy of this forecast will depend on global developments and, importantly, on the perspective of structural reforms under the next presidential administration.

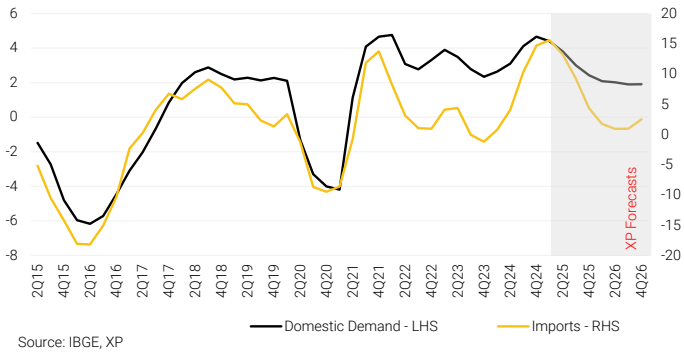
Export recovery is delayed, while import growth is expected to slow. The trade balance posted a surplus of around USD 27 billion in the first half of this year, compared to USD 37 billion in the same period last year. Exports remained broadly stable at USD 140 billion, while imports rose, totaling USD 140 billion from USD 131 billion in the first half of 2024. Logistical bottlenecks delayed soybean shipments earlier in the year, but we expect these issues to be resolved in the second half, supporting exports. Meanwhile, import volumes remain high, and oil prices have retreated (again) to USD 60 per barrel amid easing geopolitical tensions, exerting downward pressure on the trade surplus. **We forecast a trade surplus of USD 57.5 billion this year, down from USD 65.8 billion in 2024. For 2026,**

Trade balance expected to improve as imports lose steam
USD Bn



Source: BCB, XP

Slowdown in domestic demand should curb import growth
12M (%)

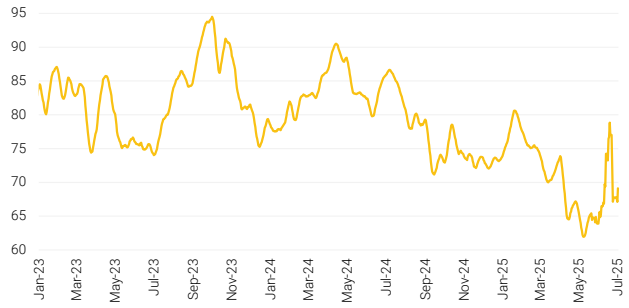


Source: IBGE, XP
* Domestic Absorption = Investments + Household Consumption + Government Consumption

we maintain our projection at USD 61.0 billion, as import growth should moderate alongside softer domestic activity.

Our baseline scenario does not foresee further deterioration in external accounts. We expect the current account deficit to stabilize at around 3.0% of GDP this year, driven mainly by a decline in imports in line with weaker domestic demand. **We project a current account deficit of USD 65.7 billion in 2025 (2.9% of the GDP) and USD 64.5 billion in 2026 (2.7% of the GDP). On the other hand, FDI inflows should remain resilient, with estimated inflows of USD 70.0 billion in 2025 (3.1% of the GDP) and USD 65.0 billion in 2026 (2.7% of the GDP),** almost fully covering the current account deficit. Consequently, the gap between external financing needs and stable funding sources has narrowed considerably. For further details, see our special report, "External deficit should not deteriorate further".

Despite recent volatility, oil prices remain close to our assumptionof USD 65 per barrel
Brent (USD)



Source: BBG, XP

Activity – The labor market remains tight amid signs of a gradual slowdown in production and consumption

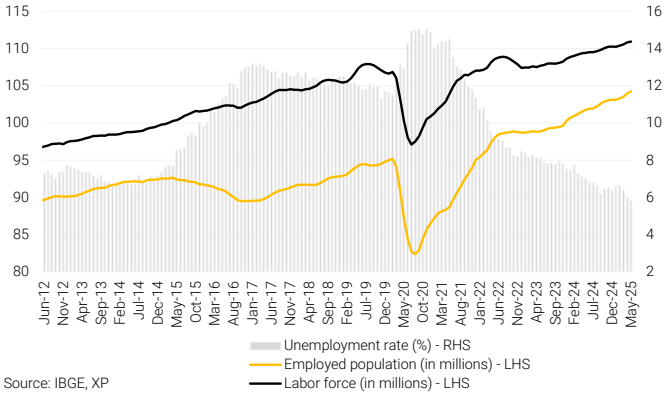
Rodolfo Margato

Unemployment rate has reached all-time lows. Considering our monthly and seasonally adjusted estimates, the unemployment rate reached 5.8% in May, the lowest level in the official data series that began in 2012. The employed population continues to rise, with emphasis on formal job categories. The tight labor market scenario is also reflected in the strong expansion of real income – around 6% between January and May 2025 compared to the same period in 2024.

Signs of stabilization in the credit market. Credit concessions with non-earmarked resources – to both companies and individuals – have lost momentum in recent months, although remaining at high levels. Spreads, interest rates, and default rates are rising, following the lagged effects of contractionary monetary policy. Meanwhile, credit lending with earmarked resources has accelerated recently, particularly for corporate segments.

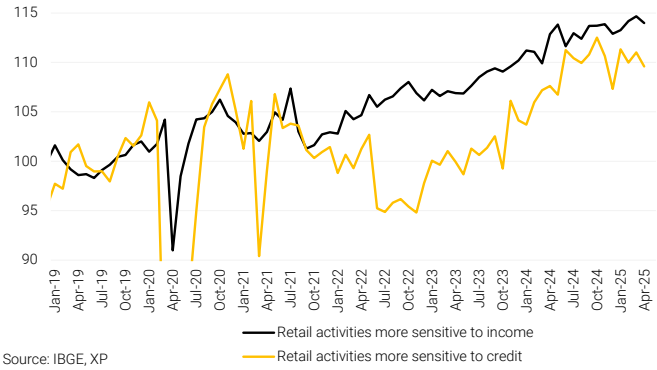
Mixed results among the main productive sectors. Activities that are less sensitive to the economic cycle will grow sharply in 2025. The record grain harvest – mainly soybeans and corn – and the increased production of crude oil have been boosting agriculture and the extractive industry. The same applies to sectors that depend more on disposable income, such as non-durable consumer goods and services rendered to families, which benefit from government transfers and the increase in real wages. Meanwhile, sectors more closely linked to credit conditions, such as capital goods and durable consumer

Unemployment rate remains on a downward trajectory
Seasonally adjusted data



Source: IBGE, XP

Retail activities more sensitive to income show resilience, while activities more linked to credit cool down
Seasonally adjusted data. 2019 average = 100.



Source: IBGE, XP

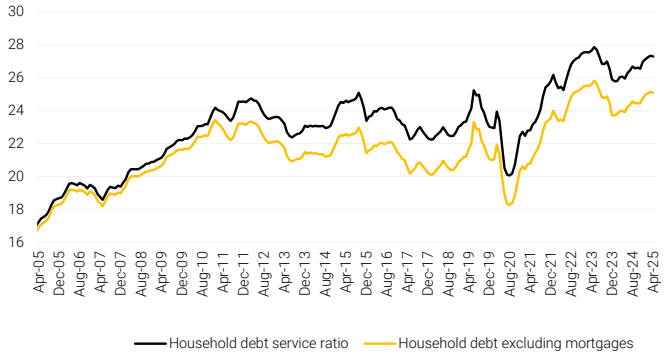
goods, have been slowing in response to restrictive interest rates and rising household indebtedness.

We continue to forecast that GDP will grow 2.5% in 2025… Total GDP is expected to expand at a moderate pace after a significant 1.4% QoQ gain in Q1. We estimate an advance of 0.5% QoQ in Q2 and a further deceleration over the second half of the year. The robust labor market and the impact of government stimulus measures – which have barely appeared in current data – should prevent a sharp reversal in domestic activity.

… and 1.7% in 2026. Tighter monetary conditions and a lower statistical carryover effect explain our base case for further GDP cooling next year. That said, the balance of risks surrounding this projection is asymmetric to the upside, in our opinion, especially due to possible new fiscal and quasi-fiscal measures in the year of the general elections.

The Brazilian economy has been growing above its potential. The output gap – the difference between actual GDP and potential GDP – is positive by around 1pp, according to our estimates. We expect the gap to gradually narrow over the next quarters, reaching levels close to neutrality at the end of 2026. This dynamic is compatible with the sticky services inflation, which has been running well above the 3.0% target.

Credit market loses steam amid restrictive interest rates and rising household indebtedness
Household debt - Seasonally adjusted data (%)



Source: BCB

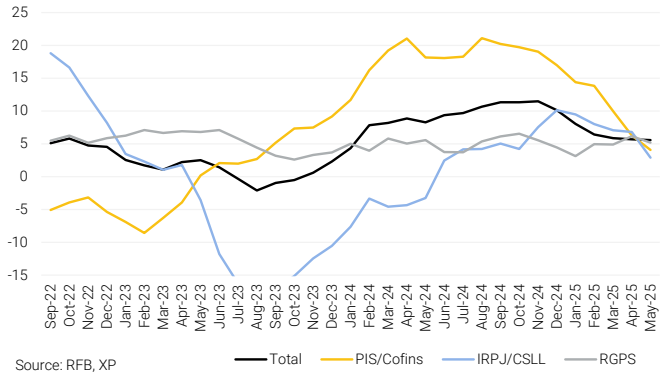
Public finance – Difficulties to approve revenue measures increase the fiscal risks for 2026

Tiago Sbardelotto

The year-to-date primary surplus does not reflect risks on the expenditure side. Net revenue grew 3.3% in real terms in the year to May but has been showing a slowdown in the margin, in line with the weakening of economic activity and falling inflation. Meanwhile, expenditures declined by 3.3%, primarily due to changes in the payment schedule for court-ordered debt, longer queues for social security and welfare benefits, and strong restraints on discretionary spending. In aggregate, the primary result reached BRL 32.2 billion, the best result since 2022 – but this hides a backlog on the expenditure side that will be corrected in the second half of the year, returning the result to negative territory.

The primary balance target should be met in 2025 even with the IOF tax rate increase being overturned by Congress. Even without the additional BRL 12 billion from the IOF tax hike, we believe it will be possible to reach the lower limit of the primary result target in 2025. Our assessment is based on three factors: i) tax collection has slowed but remains at a high level; ii) additional extraordinary revenues, such as dividends from

Tax collection shows slight deceleration amid weaker economic activity and lower inflation
3M anual. Seasonally adjusted. average of tax collection (%)

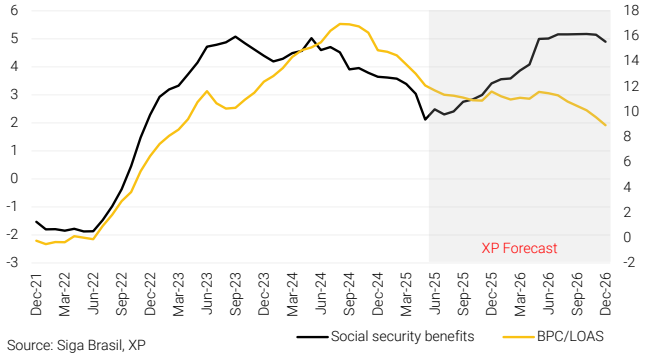


Source: RFB, XP

state-owned companies and oil field auctions, could be used; and iii) there is a weaker execution of expenditures, mainly on personnel and social and discretionary charges. As so, **we estimate a total deficit of BRL 68.7 billion (0.5% of GDP) and a deficit for compliance with the target of BRL 23.4 billion (0.2% of GDP)** – therefore, BRL 7.6 billion above the lower limit of the primary result target (BRL 31.0 billion or 0.25% of GDP.

Social security and assistance spending should require additional blocks to comply with the spending limit. The slowdown in the growth of spending on social security benefits and BPC/LOAS in recent months reflects the increase in the backlog of requests and the anticipation of benefit payments in May 2024, which affected the basis for comparison. We see a reversal of the backlog throughout this year, as well as a normalization of payment flow, which should continue to put pressure on spending—**we see the need for an additional BRL 5.4 billion in spending freezes to comply with the spending cap.**

Social security benefits and BPC/LOAS expenditures should accelerate as queues reduce
12M YoY change (%)



Source: Siga Brasil, XP

The 2026 target is even more challenging without IOF revenues. On the revenue side, the overturning of the decree that raised IOF rates is partially offset by the provisional measure that eliminates exemptions for agribusiness and real estate credit securities and raises taxation on interest on equity, among other measures. On the expenditure side, the reduction in our inflation forecast for this year (see section above) reduces the nominal growth of the spending limit for next year. Adding up the effects, our deficit forecast for next year is BRL 91.7 billion (0.7% of GDP), compared to a deficit of BRL 90.3 billion (0.7% of GDP). **The deficit to meet the target (excluding spending on court-ordered payments) rose from BRL 35.2 billion (0.3% of GDP) to BRL 36.6 billion (0.3% of GDP).** As next year's target corresponds to a surplus of BRL 31.8 billion (0.25% of GDP), **BRL 68.4 billion in additional revenues would be needed to reach the center of the target.**

The risk is of an even higher deficit. Our forecast has a clear downside risk (higher deficit) since the approval of the provisional measure is increasingly uncertain given the government's recent difficulty in passing revenue-raising measures in Congress.

BRL Bn

Measures	2025			2026	
	Gov - Bimonthly report	Gov - Current	XP	Gov	XP
Credit recovery at board of tax appeals (CARF)	-	-	1.0	-	-
Tax transactions	31.5	31.5	20.0	-	-
Review of railway concession contracts	-	-	-	-	-
Recovery of credits	15.5	15.5	-	-	-
Special control over the use of tax benefits	-	-	10.0	-	-
Compensation for the payroll exemption	7.0	7.0	7.0	7.0	7.0
increase in IOF tax rate	20.0	-	-	-	-
Taxation of exempt securities	-	-	-	2.6	1.2
Increase in betting tax	-	0.3	0.4	1.7	2.5
Change in CSLL for fintechs	-	0.3	0.3	1.6	1.6
Increase in interest on equity (IoE)	-	-	-	5.0	6.0
Change in tax compensations	-	10.0	2.0	10.0	2.0
Auction of oil uncontracted areas	-	15.0	-	-	11.0
Other	-	9.3	6.0	-	-
Total	**74.0**	**88.8**	**46.7**	**27.9**	**31.3**

Source: Budget Bill, XP

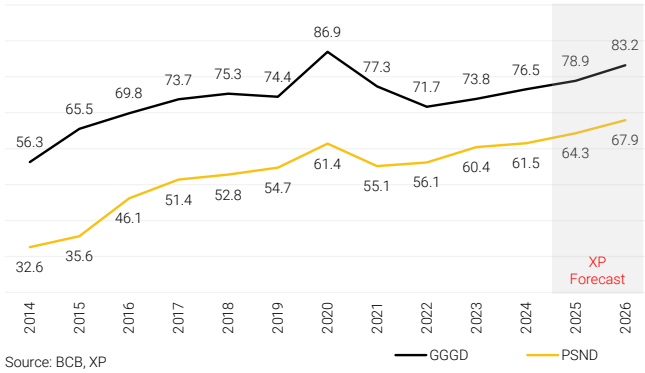
Fiscal framework under pressure next year. The increase in spending on social security benefits and BPC/LOAS (unconditional cash transfers for the elderly and disabled) resulting from the reduction in the backlog of benefit claims and the need to include spending on the Pé de Meia program (an additional BRL 10.5 billion) in the budget already require a freeze of BRL 10 billion in discretionary spending in the 2026 budget bill. A possible increase in the cost of the gas subsidy from BRL 3.6 billion to BRL 5 billion and of the Bolsa Família program due to inflation during the period, with an estimated cost of BRL 20 billion, may make the spending limit unfeasible as early as 2026. In all scenarios, we see strong pressure on

discretionary spending, which is expected to reach its lowest level since 2023.

Regional governments maintain a surplus for the year. Regional governments have accumulated a surplus of BRL 41.5 billion this year, with increases in ICMS revenue and constitutional transfers supporting the expansion of spending. State-owned companies, in turn, continue to show a very negative trend, with a deficit similar to last year's. **We estimate a deficit of BRL 62.9 billion, or 0.5% of GDP for 2025, and BRL 91.1 billion, or 0.7% of GDP in 2026 for the consolidated public sector.**

Debt rises less than expected, but the upward trend continues. The lower implicit costs led to a downward revision of public debt projections. We now expect general government gross debt (GGGD) to reach 78.9% of GDP (previously: 79.4%) and 83.2% of GDP (previously: 83.3%) by the end of 2025 and 2026, respectively. Public sector net debt (PSND) is expected to end the year at 64.3% of GDP (previously 64.4%) and next year at 67.9% (previously 68.0%) of GDP.

Public debt continues to rise
General gov. gross debt and public sector net debt (% of GDP)



Source: BCB, XP

Inflation – Amid a weaker dollar, we cut our 2025 IPCA forecast from 5.5% to 5.0%; for 2026, from 4.7% to 4.5%.

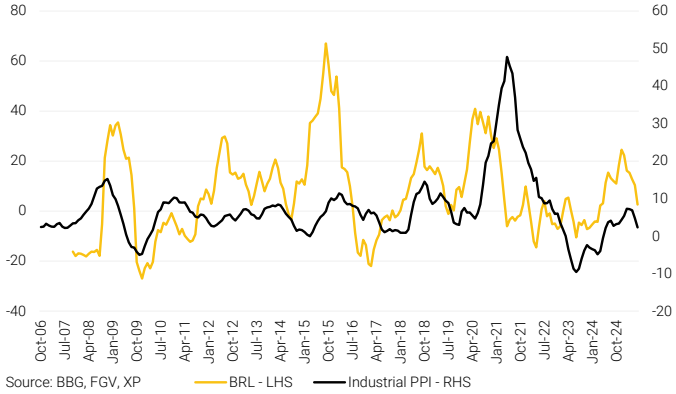
Alexandre Maluf

Short-term inflation surprised (again) to the downside. The June IPCA-15 came in below expectations, with relief concentrated mainly on food and industrial goods prices. Wholesale inflation (IPA) has accumulated a 4% deflation over the last four months. Thus, the prospective consumer price scenario tends to be more benign than we had projected.

Industrial goods inflation has come out better than expected. Given our new exchange rate scenario, we project a less pressured second half of the year for this category, especially durable goods. With less pressured production costs and greater import competition, we have lowered our industrial goods inflation forecast from 3.6% to 2.7%. For an analysis of recent exchange rate dynamics and its effect on industrialized goods inflation, read our special report, "Stronger BRL explains lower Short-Term Inflation."

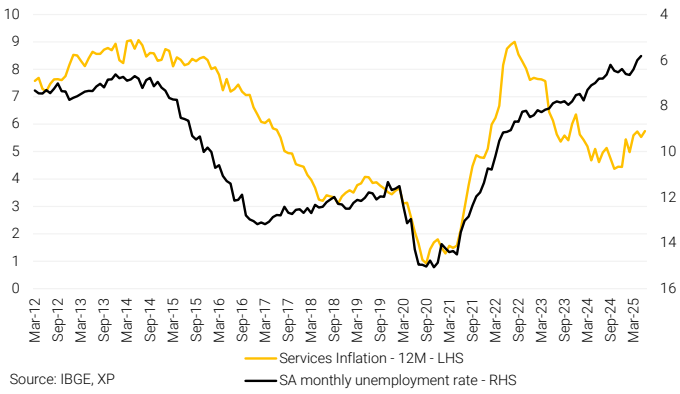
Services inflation also showed relief in June but remains the main risk ahead. The unemployment rate has returned to historic lows, and real wages continue to rise. Thus, despite slightly better recent results, we still see service prices under pressure. The fundamentals for services inflation – employment, income, inertia – do not suggest a persistent and widespread decline ahead. Incorporating recent surprises and

Wholesale prices cooled down amid a weaker dollar
YoY (%)



Source: BBG, FGV, XP

A tight labor market should keep services inflation at high levels
(%)



Source: IBGE, XP

the new exchange rate scenario, we have only slightly lowered our services price forecast from 6.2% to 5.8%.

Electricity adds volatility in the short term. The National Electric Energy Agency (Aneel) announced the activation of the 'red flag' 1 tariff in July, which was already considered in our base scenario. We expect this level to be maintained until October. For November and December, we project a 'yellow flag'. Another relevant factor was the 13.3% tariff adjustment by Enel SP, which added 0.07 p.p. to our base scenario.

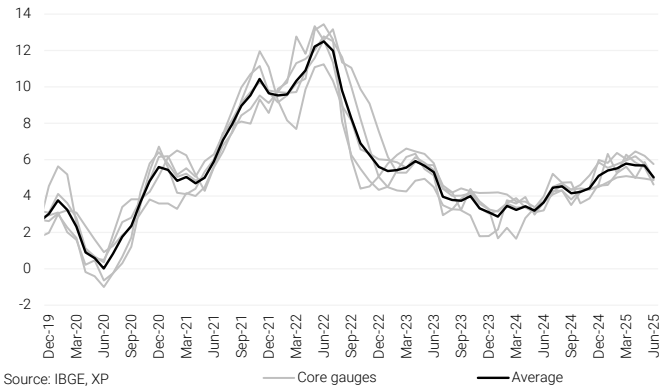
Still on monitored prices, we included in our base scenario another reduction in gasoline and diesel prices by Petrobras in September. Besides expecting a more appreciated exchange rate, oil and derivatives have returned to levels before the escalation of military conflicts in the Middle East. In the coming months, the announced production increases by OPEC+ should allow Petrobras to cut prices.

Falling food prices in the domestic market also moderate short-term inflation. Wholesale deflation and more favorable weather should bring benign readings for food inflation. We still foresee a relevant increase in protein prices in the second half of the year, but at a lower intensity than in our base scenario – this adjustment was precisely due to the assumption of a weaker dollar. That said, we project food inflation at home at 7.4% in 2025 (previously 8.3%).

In all, we have lowered our 2025 IPCA forecast from 5.5% to 5.0%, with widespread relief among IPCA groups, reflecting a more appreciated exchange rate.

For 2026, we project IPCA at 4.5% (previously 4.7%), back within the target range. Lower inflation in 2025 will impose less inertia for 2026, constituting the main driver for the reduction in next year's forecast. On the other hand, the reduction would be even greater if not for i) fiscal risks in an election year, which should generate exchange rate volatility and sustain activity at heated levels, and ii) a more pressured outlook for proteins next year – in 2025, slaughter rates exceeded expectations, which helped this year's inflation but should impose more supply constraints in 2026.

Core inflation seems to have peaked
IPCA-15. 3M SAAR (%)



Source: IBGE, XP

IPCA Groups 12M (%)

	2022	2023	2024	2025 (F)		2026 (F)	
				Prior	Current	Prior	Current
Monitored prices	-3.8	9.1	4.7	4.4	4.5	5.0	4.8
Market-set prices	9.3	3.1	4.9	5.9	5.2	4.6	4.4
Food at home	13.2	-0.5	8.2	8.3	7.4	5.2	5.6
Industrials	9.6	1.1	2.9	3.6	2.7	4.0	3.6
Services	7.6	6.2	4.8	6.2	5.8	4.7	4.5
IPCA headline	**5.8**	**4.6**	**4.8**	**5.5**	**5.0**	**4.7**	**4.5**

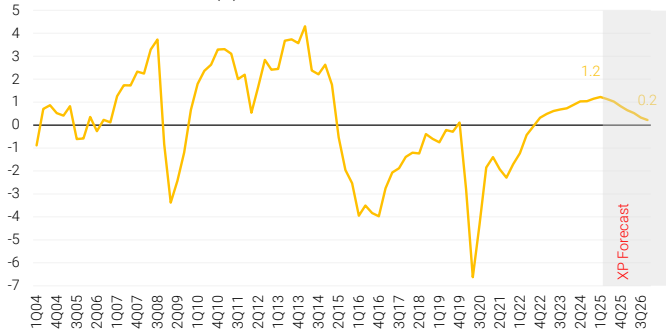
Source: IBGE, XP

Monetary Policy – How long is a "very prolonged period"?

Caio Megale

The Brazilian Central Bank (BCB) hiked the Selic rate for (probably) the last time this year to 15.00% and promised to keep it there for a "very prolonged period". How long is "very prolonged"?

Brazilian output gap is expected to remain positive throughout the entire relevant horizon
Actual GDP/Potential GDP (%)



Source: BCB, IPEA, XP

We previously expected that the easing cycle would start in 2026 Q2, when the BCB would be targeting 2027. However, we adjusted some of our forecasts, which made the inflation outlook more benign in the short run.

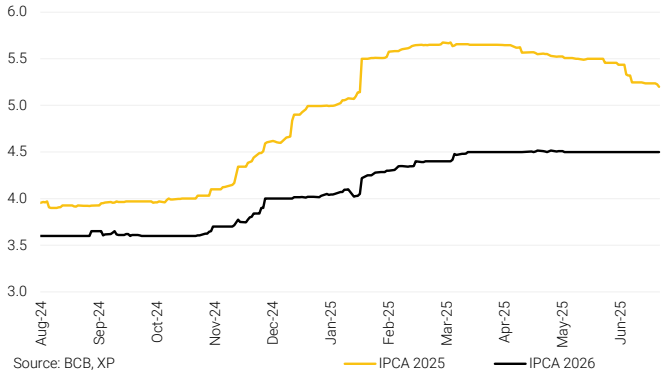
Stronger BRL, lower IPCA. We revised our exchange rate and inflation forecasts (see sessions above). As this scenario materializes, 2026 inflation expectations will likely begin to recede, as it is already happening in 2025 (see chart). The BCB should gradually gain confidence that monetary policy efforts are paying off.

Activity remains heated. The main risk for inflation convergency is the output gap, which is (and will continue) quite tight (see chart). There are some signs of deceleration, but not materially enough to create spare capacity in the economy, in our view.

Easing sooner than expected. Still, considering the better short-term inflation outlook, we believe now that **the first rate cut will happen as soon as January.** We keep seeing the Selic rate at 12,50% by 2026 yearend (five consecutive 50-bp cuts).

Further progress is needed to bring monetary policy to neutral. For the Selic rate to move closer to neutral levels - around 5.5% in real terms in our view – we would need to see further progress on **rebalancing the output gap** and, crucially, on **fiscal reforms** that make the public-debt dynamics more sustainable from 2027 onwards.

2025 IPCA forecast has receded, 2026 may be the next in line
Median market expectation from Focus Survey (%)



Source: BCB, XP

XP Forecasts

	2018	2019	2020	2021	2022	2023	2024	2025 (F)	2026 (F)
GDP growth (%)	1.8	1.2	-3.3	4.8	3.0	3.2	3.4	2.5	1.7
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	8.3	7.6	6.5	6.5	7.0
IPCA (CPI, %)	3.8	4.3	4.5	10.1	5.8	4.6	4.8	5.0	4.5
SELIC rate (% p.a., end of period)	6.50	4.50	2.00	9.25	13.75	11.75	12.3	15.00	12.50
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.28	4.86	6.2	5.50	5.70
Central government primary balance (% GDP)	-1.7	-1.2	-9.8	-0.4	0.5	-2.4	-0.4	-0.5	-0.7
Primary balance for target calculation (% GDP)*	--	--	--	--	--	--	-0.1	-0.2	-0.3
Public sector primary balance (% GDP)	-1.5	-0.8	-9.2	0.7	1.2	-2.3	-0.4	-0.5	-0.7
Public sector overall balance (% GDP)	7.0	5.8	13.3	4.3	4.6	8.8	8.5	-8.8	-8.2
General government gross debt (% GDP)	75.3	74.4	86.9	77.3	71.7	73.8	76.5	78.9	83.2
Net public sector debt (% GDP)	52.8	54.7	61.4	55.1	56.1	60.4	61.5	64.3	67.9
Trade Balance (USD Bn)	46.6	29.6	35.7	42.3	51.5	92.3	65.8	57.5	56.0
Exports (USD Bn)	231.9	225.8	210.7	284.0	340.2	343.8	339.9	343.5	347.0
Imports (USD Bn)	185.3	196.2	175.0	241.7	288.7	251.5	274.0	286.0	291.0
Current Account (USD Bn)	-54.8	-65.0	-24.9	-40.4	-42.2	-27.9	-61.2	-65.7	-64.5
Current Account (% GDP)	-2.9	-3.5	-1.7	-2.4	-2.2	-1.3	-2.8	-2.9	-2.7
FDI (USD Bn)	78.2	69.2	38.3	46.4	74.6	62.4	71.1	70.0	65.0
FDI (% GDP)	4.1	3.7	2.6	2.8	3.8	2.9	3.2	3.1	2.7
Nominal GDP (USD Bn)	1,915	1,873	1,475	1,670	1,951	2,190	2,178	2,293	2,395
Nominal GDP (BRL Bn)	7,004	7,389	7,610	9,012	10,080	10,943	11,745	12,703	13,530

* Excludes court-ordered payments beyond the limit

Source: IBGE, BCB, BBG, XP

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